

Homework 2

Name TAYLOR

Answer the following questions clearly and concisely. Show enough of your work so your thought process is clear. Partial credit will be given for incorrect answers based on how well they demonstrate understanding of the concepts. You are welcome to work in groups as long as your work is your own. Let me know if you have any questions!

Q1. Emily bakes for a Pittsburgh bakery. She can bake 20 loaves OR 5 cakes in one day. Set up Emily's PPF on an x,y graph with cake on the vertical and bread on the horizontal. What is Emily's opportunity cost of producing 1 cake?



$$5C = 20B$$

$$C = 4B$$

Opportunity Cost of Cake: 4B

Q2. Suppose Emily bakes 10 loaves and 2 cakes in one day. Is this efficient or feasible. Use a graph or algebra to justify your answer.

*inefficient
or unattainable*

$$C = 5 - \frac{1}{4}B$$

$$= 5 - \frac{1}{4}(10) = 5 - \frac{5}{2} = \frac{5}{2} = \boxed{2.5 > 2}$$

Efficient or Feasible: Inefficient

Q3. Jacob also bakes loaves and cake at a neighboring bakery. He can bake 15 loaves OR 8 cakes in one day. Set up a production table with both Emily and Jacob's output per day. Who has the absolute advantage (AA) in bread? Then set up an opportunity cost table with Emily and Jacob's opportunity costs for each good. Who has the comparative advantage (CA) in bread?

	E	J
C	5	8
B	20	15

	E	J
C	4B	$\frac{15}{8}B$
B	$\frac{1}{4}C$	$\frac{8}{15}C$

AA in Bread: Emily

CA in Bread: Emily

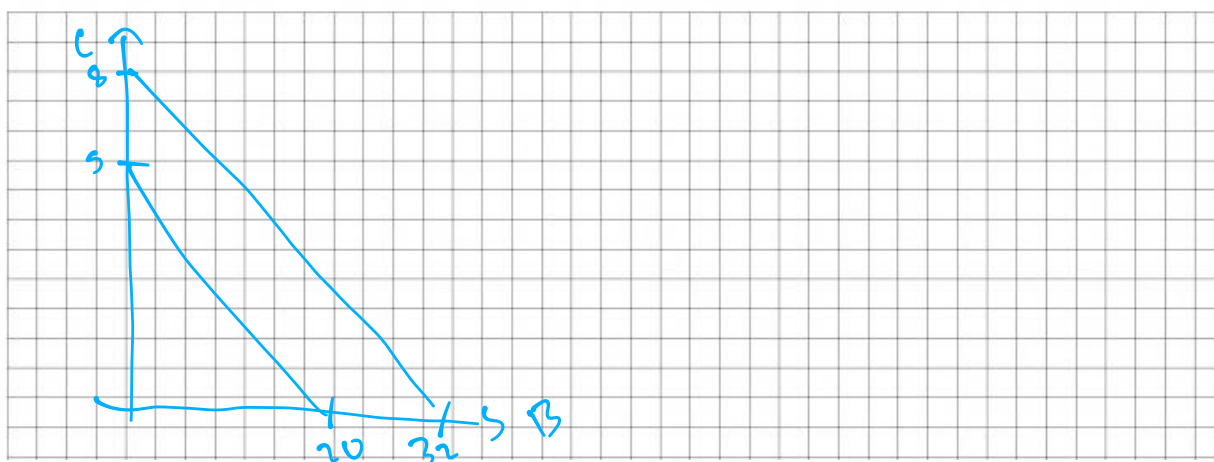
Q4. Suppose Emily and Jacob realize they can specialize and trade goods. After they specialize, what is a trade that would make them both better off?

$$\frac{15}{8}B \rightarrow 4B$$

FOR 1 CAKE

3 Loaves for 1 Cakes

Q5. It turns out Emily wants to add hours to her job. So she increases from 5 to 8 hours per day. Set up Emily's old and new PPF on the same graph. What is Emily's new opportunity cost?



New Opportunity Cost of Cake: 4B